applicant used. Thus on page 601 of its letter, the bank might explain that ‘you filed your application from your smartphone, which was the latest iPhone model. By analysing millions of previous loan applications, our algorithm discovered a pattern – people who use the latest iPhone model to file their application are 0.08 per cent more likely to repay the loan. The algorithm therefore added 8 points to your overall score for that. However, at the time your application was sent from your iPhone, its battery was down to 17 per cent. By analysing millions of previous loan applications, our algorithm discovered another pattern: people who allow their smartphone’s battery to go below 25 per cent are 0.5 per cent less likely to repay the loan. You lost 50 points for that.’[42]

You may well feel that the bank treated you unjustly. ‘Is it reasonable to refuse my loan application,’ you might complain, ‘just because my phone battery was low?’ That, however, would be a misunderstanding. ‘The battery wasn’t the only reason,’ the bank would explain. ‘It was only one out of a thousand factors our algorithm took into account.’

‘But didn’t your algorithm see that only twice in the last ten years was my bank account overdrawn?’

‘It obviously noticed that,’ the bank might reply. ‘Look on page 453. You got 300 points for that. But all the other reasons brought your aggregated score down to −378.’

While we may find this way of making decisions alien, it obviously has potential advantages. When making a decision, it is generally a good idea to take into account all relevant data points rather than just one or two salient facts. There is much room for argument, of course, about who gets to define the relevance of information. Who decides whether something like smartphone models – or skin colour – should be considered relevant to loan applications? But no matter how we define relevance, the ability to take more data into account is likely to be an asset. Indeed, the problem with many human prejudices is that they focus on just one or two data points – like someone’s skin colour, disability or gender – while ignoring other information. Banks and other institutions are increasingly relying on algorithms to make decisions, precisely because algorithms can take many more data points into account than humans can.

But when it comes to providing explanations, this creates a potentially insurmountable obstacle. How can a human mind analyse and evaluate a decision made on the basis of so many data points? We may well think that